DOCUMENT D11 · ABC BANK

Terms of Reference — Audit Committee

Version 4.0, 27 September 2023 (extract). Duties relating to the external auditor and to financial statements are omitted.

1 General

The Audit Committee of ABC Bank Limited was established by resolution of the Board of Directors on 25 January 2013. These Terms cover ABC Bank, its branches and representative offices.

The principal function of the Audit Committee is to assist the Board by providing an independent review of the effectiveness of the financial reporting process and the internal control system of the bank. In discharging its duties the Committee shall have due regard to applicable laws, regulations and guidelines issued by the relevant regulators, including the HKMA Supervisory Policy Manual.

The internal audit function and the internal auditor of the bank shall have a direct reporting line to the Audit Committee.

2 Membership

Members are appointed by the Board from among the non-executive directors; not fewer than three, at least one an independent non-executive director (INED), preferably INEDs in the majority. The chair is an INED appointed by the Board.

3 Meetings

The CEO, the CFO, other senior executives as the CEO deems appropriate, the Head of Internal Audit, and representatives of the external auditor and/or the internal audit service provider normally attend. The Committee may meet the external and internal auditors without executive directors or management present. Meetings are held not less than three times a year.

4 Authority

The Committee is authorised by the Board to investigate any activity within these Terms, to seek any information it requires from any employee, and to obtain outside independent professional advice at the bank's expense.

5 Duties (extract)

Supervision of internal auditors

- (g) make recommendations to the Board on the appointment and dismissal of the Head of Internal Audit and, where internal audit service providers are used, on their appointment, re-appointment, removal and terms of engagement;
- (h) receive internal audit reports and ensure that management (with appropriate involvement of the control functions) takes necessary corrective action in a timely manner to address control weaknesses, non-compliance with policies, laws and regulations, or other issues identified by the auditors;
- (i) review, and recommend to the Board for approval, the internal audit plan and programme; oversee co-ordination between internal and external auditors; ensure the internal audit function is adequately resourced and has appropriate standing; and review and monitor the effectiveness of the internal audit function;

Oversight of internal control

- (l) oversee the bank's financial controls and internal control;
- (m) discuss with management any matters relating to the internal control system and oversee that management has discharged its duty to establish and maintain an effective internal control system;
- (n) consider any findings of major investigations of internal control matters, as delegated by the Board or on its own initiative, and management's response;

Others

- (t) bring major findings of examination reports by regulatory bodies to the attention of the Board, and review management's follow-up actions;
- (u) report to the Board on matters relating to the duties of the Committee set out in these Terms;

6 Reporting procedures

Full minutes are kept by the company secretary and record in sufficient detail the matters considered and decisions reached. The Committee reports back to the Board and keeps it fully informed of its decisions and recommendations.

8 Review and updates

These Terms shall be reviewed on an annual basis and as needed. Amendments are recommended by the Audit Committee and approved by the Board.

Version	Issue date	Updated by	Approved by
1.0	25 January 2013	CEO	Board
2.0	1 November 2013	Legal function	Board
3.0	17 May 2018	Legal function	Audit Committee and Board
4.0	27 September 2023	Legal function	Audit Committee and Board

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